

PHOTO BY **MANDAR DEODHAR**

ALL YOU NEED TO KNOW

- **From October 15, 2026, an MDR of 0.4% will be charged on any merchant transaction above ₹2,000**
- **For transactions of ₹75,000 and above, the MDR will be capped at ₹300 per transaction**
- **For specific merchant categories such as railways, telecom services, insurance, and fuel, among others, a flat MDR of ₹5 per transaction shall be applicable for transactions above ₹2,000**
- **Small merchants receiving up to ₹1 lakh per month through UPI QR codes will enjoy zero MDR**
- **Person-to-person transactions will remain free**
- **A dedicated fund will be established to subsidise and accelerate digital payment infrastructure in Tier III-VI centres**
- **While the MDR on UPI will be significantly lower than the 1.5-2.5% MDR on credit cards, many have criticised the move. The All India Petroleum Dealers Association, for instance, has sought an exemption for petrol pumps**



IT'S A MUGGY day in India's financial capital and a grocery-store owner in a busy marketplace looks visibly bothered. "A lot of my daily transactions are up to ₹1,000. But there are orders where the value is well over ₹2,000. I will have to rethink whether to keep accepting UPI payments because of the MDR [levy]. The customer may not want to pay any additional cost," he says. MDR is Merchant Discount Rate. An MDR of 0.4% will be charged on UPI transactions with merchants above ₹2,000 from October.

His words echo the anxiety of retailers, especially the smaller ones, who make lower margins of profit.

"Retailers only make 18-19% margins. After all the expenses, if they are lucky, they make 2-3%. So, the 0.4% MDR is going to affect them," says Kumar Rajagopalan, CEO of the Retailers Association of India. "As it is, many of them don't take credit cards or if they do, they tell customers to pay more. UPI then became their go-to. It changed the way merchants accepted money," he adds.

GROWING WORRIES

India's home-grown payments